# Economics Topic 2

## PARTICIPANTS IN THE ECONOMY

# learning goal

- Students will develop knowledge on the participants in the Australian Economy

- Students will be successful if they can describe all four participants in the Australian economy and identify how they interact with one another.

# success criteria

# Quiz

#1

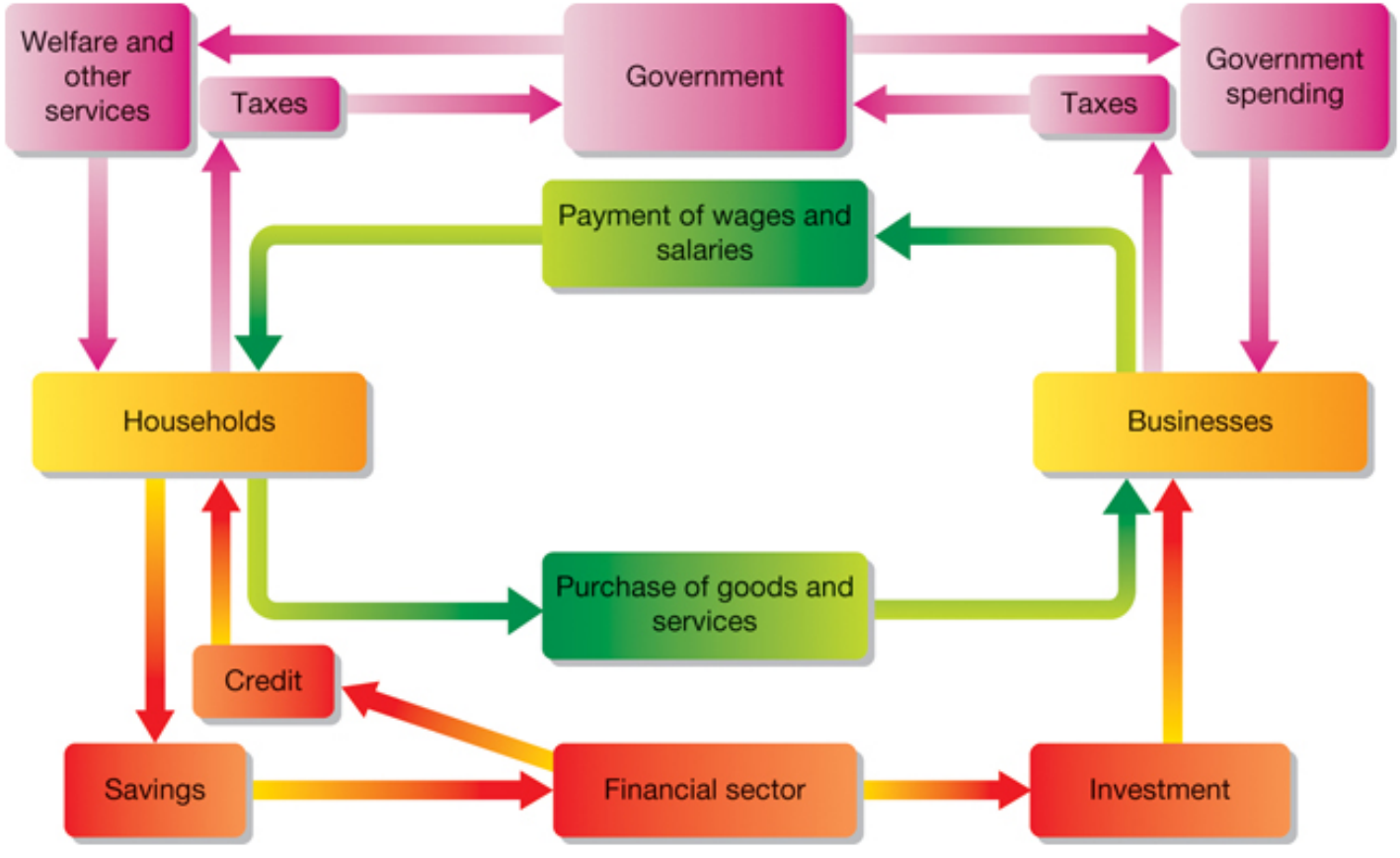
A. Name the 4 issues that affect Australia's economic environment?

B. Name the 3 important players that influence the microeconomy?

C. The laws of supply and demand impact on what three things?

D. What are 2 of the federal governments economic objectives?

# who participates in the economy?




There are 4 groups of participants in the economy. They are:

- Households
- Businesses
- Financial (Banks)
- Government

# how do they interact?

#2

Look at the diagrams above.

Have a discussion with a partner about which sector you think is the most important when participating in our economy?

Make a note about what your partner says to you.

# participants of the economy

The PowerPoint explains in more detail each participant and their role in the economy.

Either as a class or in pairs, read through the information, complete the retrieval table which summarises the information.

# activity

# #3

**Lets put your learning into practice.** Explain using your own words how participants in the Australian economy interact.

Re-examine the circular flow diagram which was shown earlier and predict what impact each of the following might have on the level of goods and services sold by Australian businesses:

a. Households decide to save a larger proportion of their income.
b. Banks make it easier for consumers to acquire credit cards.
c. Governments decide to increase the level of taxation for households.
d. Governments increase the level of welfare payments.

# the end

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